

when they are provided with the results of statistical prediction. The issue is that they continue to underperform the statistical prediction rule alone. The reason is known as the “broken leg” problem:⁶⁷

Suppose an actuarial formula accurately predicts an individual's weekly movie attendance. If we know that the subject has a broken leg, it would be wise to discard the actuarial formula.

Statistical prediction rules get broken-leg problems incorrect because the particular case is so different from the base rate. If that is the case, goes the argument, then surely these anomalous cases could benefit from an expert overriding the rule? The studies find that they do not. In fact, experts predict less reliably than they would have if they had just used the statistical prediction rule.⁶⁸ The statistical prediction rule tends to be a ceiling from which the expert detracts, rather than a floor to which the expert adds. The reason is that when experts are given statistical prediction rules along with permission to override them, the experts find more broken legs than there really are. Our resistance to the statistical-prediction rule findings is due to our tendency to be overconfident in our ability to reason subjectively and hence the reliability of our predictions. It is self-reflexive: Our confidence in our reasoning abilities reinforces our confidence in our judgments, and our overconfident judgments encourage our belief in the reliability of our faculties.

In the original edition of *Security Analysis*, Graham warned against blindly buying a basket of securities trading at a low ratio of some of fundamental measure like price-to-earnings without considering other “unknown factors” necessarily excluded from such an analysis. Graham reasoned:⁶⁹

Theoretically these unknown factors should have an equal chance of being favorable or unfavorable, and thus they should neutralize each other in the long run. For example, it might be thought that a simple way to make money could be found by purchasing a number of common stocks currently earning the largest percentage on the market price and simultaneously selling those earning the smallest percentage, the idea being that helpful or harmful future changes should be about equally distributed over both groups, so that the group purchased should maintain its better aggregate showing and therefore do better in the market. But it may well be that the low price for the apparently attractive issues is due to certain important unfavorable factors which, though not disclosed, are known to those identified with the company—and vice versa for the issues seemingly selling above their relative value. In speculative